



Bill Number: S.B. 1629

Angius Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Specifies that the requirement that a managed care organization complete and submit a network adequacy study when declining to contract with a provider applies only to high-volume service providers.

ANGIUS FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1629
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 36, chapter 29, article 1, Arizona Revised
3 Statutes, is amended by adding section 36-2930.07, to read:

4 36-2930.07. Managed care organizations; high-volume service
5 providers; termination without cause; written
6 notice; determination of network adequacy;
7 definitions

8 A. BEFORE A MANAGED CARE ORGANIZATION MAY TERMINATE A HIGH-VOLUME
9 SERVICE PROVIDER'S CONTRACT WITHOUT CAUSE, THE MANAGED CARE ORGANIZATION
10 SHALL SUBMIT WRITTEN NOTICE TO THE ADMINISTRATION AT LEAST NINETY DAYS
11 BEFORE THE PROPOSED EFFECTIVE DATE OF THE TERMINATION.

12 B. THE NOTICE TO THE ADMINISTRATION PURSUANT TO SUBSECTION A OF
13 THIS SECTION SHALL INCLUDE ALL OF THE FOLLOWING:

14 1. DOCUMENTATION SHOWING THAT THE SERVICE PROVIDER IS A HIGH-VOLUME
15 SERVICE PROVIDER, INCLUDING THE SPECIFIC DATA SOURCES, CALCULATION
16 METHODOLOGY AND METRICS USED.

17 2. A NETWORK ADEQUACY STUDY PERFORMED BY THE MANAGED CARE
18 ORGANIZATION THAT EVALUATES AND DOCUMENTS, AT A MINIMUM:

19 (a) CURRENT AND PROJECTED POSTTERMINATION SERVICE
20 PROVIDER-TO-ENROLLEE RATIOS BY SERVICE PROVIDER TYPE AND GEOGRAPHIC
21 SERVICE AREA.

22 (b) CURRENT APPOINTMENT WAIT TIME PERFORMANCE FOR THE AFFECTED
23 SERVICES.

24 (c) THE PATIENT VOLUME AND GEOGRAPHIC DISTRIBUTION OF THE AFFECTED
25 SERVICES.

26 (d) THE IMPACT ON MEMBERS WHO ARE RECEIVING BEHAVIORAL HEALTH
27 SERVICES ASSOCIATED WITH THE MEMBER'S DISABILITY.

1 (e) THE CUMULATIVE EFFECT OF ALL PENDING OR RECENTLY COMPLETED
2 WITHOUT-CAUSE TERMINATIONS OF HIGH-VOLUME SERVICE PROVIDERS BY THE MANAGED
3 CARE ORGANIZATION.

4 (f) ANY ADDITIONAL FACTORS THE MANAGED CARE ORGANIZATION OR THE
5 ADMINISTRATION IDENTIFIES AS RELEVANT TO NETWORK ADEQUACY.

6 3. THE MANAGED CARE ORGANIZATION'S PRELIMINARY ASSESSMENT OF THE
7 IMPACT OF THE TERMINATION ON NETWORK ADEQUACY.

8 4. ANY MITIGATION MEASURES THE MANAGED CARE ORGANIZATION IS
9 PROPOSING.

10 C. IF THERE IS A DISCREPANCY BETWEEN THE MANAGED CARE ORGANIZATION
11 AND THE SERVICE PROVIDER OF WHETHER THE SERVICE PROVIDER IS A HIGH-VOLUME
12 SERVICE PROVIDER, THE MANAGED CARE ORGANIZATION SHALL NOTIFY THE
13 ADMINISTRATION AND PROVIDE DOCUMENTATION SUPPORTING THE MANAGED CARE
14 ORGANIZATION'S DECISION NOT TO FILE THE WRITTEN NOTICE PURSUANT TO
15 SUBSECTION A OF THIS SECTION. THE ADMINISTRATION SHALL REVIEW THE
16 DOCUMENTATION AND DECIDE WHETHER THE MANAGED CARE ORGANIZATION IS REQUIRED
17 TO FILE WRITTEN NOTICE PURSUANT TO SUBSECTION A OF THIS SECTION. THE
18 ADMINISTRATION SHALL NOTIFY THE SERVICE PROVIDER OF THE DECISION.

19 D. A MANAGED CARE ORGANIZATION MAY NOT TERMINATE A HIGH-VOLUME
20 SERVICE PROVIDER WITHOUT CAUSE UNTIL THE ADMINISTRATION HAS REVIEWED THE
21 MANAGED CARE ORGANIZATION'S NETWORK ADEQUACY STUDY AND HAS PROVIDED
22 WRITTEN CONFIRMATION THAT APPLICABLE NETWORK ADEQUACY STANDARDS WILL
23 CONTINUE TO BE MET AFTER THE TERMINATION OF THE HIGH-VOLUME SERVICE
24 PROVIDER. THE ADMINISTRATION SHALL COMPLETE ITS REVIEW OF THE NETWORK
25 ADEQUACY STUDY WITHIN TEN BUSINESS DAYS AFTER RECEIVING THE NOTICE
26 PURSUANT TO SUBSECTION A OF THIS SECTION.

27 E. IF THE ADMINISTRATION AGREES WITH THE MANAGED CARE
28 ORGANIZATION'S DECISION BASED ON THE FINDINGS PROVIDED, THE ADMINISTRATION
29 SHALL BOTH:

30 1. POST THE MANAGED CARE ORGANIZATION'S COMPLETE NETWORK ADEQUACY
31 STUDY, INCLUDING METHODOLOGY, DATA SOURCES, METRICS AND FINDINGS, AND THE
32 ADMINISTRATION'S DETERMINATION ON THE ADMINISTRATION'S PUBLIC WEBSITE AND
33 SEND A COPY TO THE CHAIRPERSONS OF THE SENATE AND HOUSE OF REPRESENTATIVES
34 HEALTH AND HUMAN RESOURCES COMMITTEES, OR THEIR SUCCESSOR COMMITTEES, AND
35 THE GOVERNOR'S OFFICE.

36 2. PROVIDE WRITTEN NOTICE OF THE ADMINISTRATION'S DETERMINATION TO
37 THE MANAGED CARE ORGANIZATION.

38 F. IF THE ADMINISTRATION DETERMINES THAT NETWORK ADEQUACY STANDARDS
39 WOULD NOT BE MET, THE MANAGED CARE ORGANIZATION MAY NOT PROCEED WITH THE
40 HIGH-VOLUME SERVICE PROVIDER'S TERMINATION UNLESS THE MANAGED CARE
41 ORGANIZATION DEMONSTRATES TO THE ADMINISTRATION'S SATISFACTION THAT
42 NETWORK ADEQUACY STANDARDS WILL BE MET.

43 G. IF A MANAGED CARE ORGANIZATION DECLINES TO CONTRACT WITH A
44 SERVICE PROVIDER OR POTENTIAL SERVICE PROVIDER DUE TO A DETERMINATION OF
45 NETWORK ADEQUACY, THE MANAGED CARE ORGANIZATION SHALL COMPLETE AND SEND TO
46 THE ADMINISTRATION A NETWORK ADEQUACY STUDY, INCLUDING THE SPECIFIC DATA

1 SOURCES, CALCULATION METHODOLOGY AND METRICS USED TO SUPPORT THE DENIAL
2 DECISION. THE STUDY MUST INCLUDE, AT A MINIMUM:

3 1. SERVICE PROVIDER-TO-ENROLLEE RATIOS BY SERVICE PROVIDER TYPE.

4 2. CURRENT APPOINTMENT WAIT TIME PERFORMANCE FOR THE SERVICES THAT
5 THE APPLICANT WAS TO PROVIDE.

6 3. ALL PENDING OR RECENTLY COMPLETED TERMINATIONS OF HIGH-VOLUME
7 SERVICE PROVIDERS WITHOUT CAUSE IN THE GEOGRAPHIC AREA THAT THE APPLICANT
8 WOULD HAVE SERVED.

9 4. ANY ADDITIONAL FACTORS THE MANAGED CARE ORGANIZATION OR THE
10 ADMINISTRATION IDENTIFIES AS RELEVANT TO NETWORK ADEQUACY.

11 [H. SUBSECTION G OF THIS SECTION APPLIES ONLY TO HIGH-VOLUME
12 SERVICE PROVIDERS.]

13 [H.] [I.] THE ADMINISTRATION SHALL POST THE MANAGED CARE
14 ORGANIZATION'S COMPLETE NETWORK ADEQUACY STUDY SUBMITTED PURSUANT TO
15 SUBSECTION G OF THIS SECTION ON THE ADMINISTRATION'S PUBLIC WEBSITE AND
16 SEND A COPY TO THE CHAIRPERSONS OF THE SENATE AND HOUSE OF REPRESENTATIVES
17 HEALTH AND HUMAN RESOURCES COMMITTEES, OR THEIR SUCCESSOR COMMITTEES, AND
18 THE GOVERNOR'S OFFICE.

19 [I.] [J.] FOR THE PURPOSES OF THIS SECTION:

20 1. "HIGH-VOLUME SERVICE PROVIDER" MEANS A SERVICE PROVIDER THAT
21 MEETS EITHER OF THE FOLLOWING:

22 (a) DELIVERED AT LEAST TEN PERCENT OF ANY SPECIFIC SERVICE FOR A
23 MANAGED CARE ORGANIZATION IN THE PRECEDING STATE FISCAL YEAR.

24 (b) EMPLOYS MORE THAN TEN PERCENT OF THE ACTIVELY LICENSED
25 BEHAVIORAL HEALTH PROVIDERS IN THIS STATE.

26 2. "MANAGED CARE ORGANIZATION" MEANS A CONTRACTOR THAT HAS A
27 PREPAID CAPITATED CONTRACT WITH THE ADMINISTRATION OR A REGIONAL
28 BEHAVIORAL HEALTH AUTHORITY.

29 3. "SERVICE PROVIDER" MEANS AN ORGANIZATION OR MENTAL HEALTH
30 PROFESSIONAL THAT MEETS THE CRITERIA ESTABLISHED BY THE ADMINISTRATION AND
31 THAT HAS A CONTRACT WITH THE ADMINISTRATION OR A REGIONAL BEHAVIORAL
32 HEALTH AUTHORITY.

33 Sec. 2. Title 36, chapter 29, article 2, Arizona Revised Statutes,
34 is amended by adding section 36-2961, to read:

35 36-2961. Managed care organizations; high-volume service
36 providers; termination without cause; written
37 notice; determination of network adequacy;
38 definitions

39 A. BEFORE A MANAGED CARE ORGANIZATION MAY TERMINATE A HIGH-VOLUME
40 SERVICE PROVIDER'S CONTRACT WITHOUT CAUSE, THE MANAGED CARE ORGANIZATION
41 SHALL SUBMIT WRITTEN NOTICE TO THE ADMINISTRATION AT LEAST NINETY DAYS
42 BEFORE THE PROPOSED EFFECTIVE DATE OF THE TERMINATION.

43 B. THE NOTICE TO THE ADMINISTRATION PURSUANT TO SUBSECTION A OF
44 THIS SECTION SHALL INCLUDE ALL OF THE FOLLOWING:

45 1. DOCUMENTATION SHOWING THAT THE SERVICE PROVIDER IS A HIGH-VOLUME
46 SERVICE PROVIDER, INCLUDING THE SPECIFIC DATA SOURCES, CALCULATION
47 METHODOLOGY AND METRICS USED.

1 2. A NETWORK ADEQUACY STUDY PERFORMED BY THE MANAGED CARE
2 ORGANIZATION THAT EVALUATES AND DOCUMENTS, AT A MINIMUM:
3 (a) CURRENT AND PROJECTED POSTTERMINATION SERVICE
4 PROVIDER-TO-ENROLLEE RATIOS BY SERVICE PROVIDER TYPE AND GEOGRAPHIC
5 SERVICE AREA.
6 (b) CURRENT APPOINTMENT WAIT TIME PERFORMANCE FOR THE AFFECTED
7 SERVICES.
8 (c) THE PATIENT VOLUME AND GEOGRAPHIC DISTRIBUTION OF THE AFFECTED
9 SERVICES.
10 (d) THE IMPACT ON MEMBERS WHO ARE RECEIVING BEHAVIORAL HEALTH
11 SERVICES ASSOCIATED WITH THE MEMBER'S DISABILITY.
12 (e) THE CUMULATIVE EFFECT OF ALL PENDING OR RECENTLY COMPLETED
13 WITHOUT-CAUSE TERMINATIONS OF HIGH-VOLUME SERVICE PROVIDERS BY THE MANAGED
14 CARE ORGANIZATION.
15 (f) ANY ADDITIONAL FACTORS THE MANAGED CARE ORGANIZATION OR THE
16 ADMINISTRATION IDENTIFIES AS RELEVANT TO NETWORK ADEQUACY.
17 3. THE MANAGED CARE ORGANIZATION'S PRELIMINARY ASSESSMENT OF THE
18 IMPACT OF THE TERMINATION ON NETWORK ADEQUACY.
19 4. ANY MITIGATION MEASURES THE MANAGED CARE ORGANIZATION IS
20 PROPOSING.
21 C. IF THERE IS A DISCREPANCY BETWEEN THE MANAGED CARE ORGANIZATION
22 AND THE SERVICE PROVIDER OF WHETHER THE SERVICE PROVIDER IS A HIGH-VOLUME
23 SERVICE PROVIDER, THE MANAGED CARE ORGANIZATION SHALL NOTIFY THE
24 ADMINISTRATION AND PROVIDE DOCUMENTATION SUPPORTING THE MANAGED CARE
25 ORGANIZATION'S DECISION NOT TO FILE THE WRITTEN NOTICE PURSUANT TO
26 SUBSECTION A OF THIS SECTION. THE ADMINISTRATION SHALL REVIEW THE
27 DOCUMENTATION AND DECIDE WHETHER THE MANAGED CARE ORGANIZATION IS REQUIRED
28 TO FILE WRITTEN NOTICE PURSUANT TO SUBSECTION A OF THIS SECTION. THE
29 ADMINISTRATION SHALL NOTIFY THE SERVICE PROVIDER OF THE DECISION.
30 D. A MANAGED CARE ORGANIZATION MAY NOT TERMINATE A HIGH-VOLUME
31 SERVICE PROVIDER WITHOUT CAUSE UNTIL THE ADMINISTRATION HAS REVIEWED THE
32 MANAGED CARE ORGANIZATION'S NETWORK ADEQUACY STUDY AND HAS PROVIDED
33 WRITTEN CONFIRMATION THAT APPLICABLE NETWORK ADEQUACY STANDARDS WILL
34 CONTINUE TO BE MET AFTER THE TERMINATION OF THE HIGH-VOLUME SERVICE
35 PROVIDER. THE ADMINISTRATION SHALL COMPLETE ITS REVIEW OF THE NETWORK
36 ADEQUACY STUDY WITHIN TEN BUSINESS DAYS AFTER RECEIVING THE NOTICE
37 PURSUANT TO SUBSECTION A OF THIS SECTION.
38 E. IF THE ADMINISTRATION AGREES WITH THE MANAGED CARE
39 ORGANIZATION'S DECISION BASED ON THE FINDINGS PROVIDED, THE ADMINISTRATION
40 SHALL BOTH:
41 1. POST THE MANAGED CARE ORGANIZATION'S COMPLETE NETWORK ADEQUACY
42 STUDY, INCLUDING METHODOLOGY, DATA SOURCES, METRICS AND FINDINGS, AND THE
43 ADMINISTRATION'S DETERMINATION ON THE ADMINISTRATION'S PUBLIC WEBSITE AND
44 SEND A COPY TO THE CHAIRPERSONS OF THE SENATE AND HOUSE OF REPRESENTATIVES
45 HEALTH AND HUMAN RESOURCES COMMITTEES, OR THEIR SUCCESSOR COMMITTEES, AND
46 THE GOVERNOR'S OFFICE.

1 2. PROVIDE WRITTEN NOTICE OF THE ADMINISTRATION'S DETERMINATION TO
2 THE MANAGED CARE ORGANIZATION.

3 F. IF THE ADMINISTRATION DETERMINES THAT NETWORK ADEQUACY STANDARDS
4 WOULD NOT BE MET, THE MANAGED CARE ORGANIZATION MAY NOT PROCEED WITH THE
5 HIGH-VOLUME SERVICE PROVIDER'S TERMINATION UNLESS THE MANAGED CARE
6 ORGANIZATION DEMONSTRATES TO THE ADMINISTRATION'S SATISFACTION THAT
7 NETWORK ADEQUACY STANDARDS WILL BE MET.

8 G. IF A MANAGED CARE ORGANIZATION DECLINES TO CONTRACT WITH A
9 SERVICE PROVIDER OR POTENTIAL SERVICE PROVIDER DUE TO A DETERMINATION OF
10 NETWORK ADEQUACY, THE MANAGED CARE ORGANIZATION SHALL COMPLETE AND SEND TO
11 THE ADMINISTRATION A NETWORK ADEQUACY STUDY, INCLUDING THE SPECIFIC DATA
12 SOURCES, CALCULATION METHODOLOGY AND METRICS USED TO SUPPORT THE DENIAL
13 DECISION. THE STUDY MUST INCLUDE, AT A MINIMUM:

14 1. SERVICE PROVIDER-TO-ENROLLEE RATIOS BY SERVICE PROVIDER TYPE.

15 2. CURRENT APPOINTMENT WAIT TIME PERFORMANCE FOR THE SERVICES THAT
16 THE APPLICANT WAS TO PROVIDE.

17 3. ALL PENDING OR RECENTLY COMPLETED TERMINATIONS OF HIGH-VOLUME
18 SERVICE PROVIDERS WITHOUT CAUSE IN THE GEOGRAPHIC AREA THAT THE APPLICANT
19 WOULD HAVE SERVED.

20 4. ANY ADDITIONAL FACTORS THE MANAGED CARE ORGANIZATION OR THE
21 ADMINISTRATION IDENTIFIES AS RELEVANT TO NETWORK ADEQUACY.

22 [H. SUBSECTION G OF THIS SECTION APPLIES ONLY TO HIGH-VOLUME
23 SERVICE PROVIDERS.]

24 ~~[H.]~~ [I.] THE ADMINISTRATION SHALL POST THE MANAGED CARE
25 ORGANIZATION'S COMPLETE NETWORK ADEQUACY STUDY SUBMITTED PURSUANT TO
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29 THE GOVERNOR'S OFFICE.

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32 MEETS EITHER OF THE FOLLOWING:

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34 MANAGED CARE ORGANIZATION IN THE PRECEDING STATE FISCAL YEAR.

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36 BEHAVIORAL HEALTH PROVIDERS IN THIS STATE.

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41 PROFESSIONAL THAT MEETS THE CRITERIA ESTABLISHED BY THE ADMINISTRATION AND
42 THAT HAS A CONTRACT WITH THE ADMINISTRATION OR A REGIONAL BEHAVIORAL
43 HEALTH AUTHORITY.

1 Sec. 3. Title 36, chapter 34, article 1, Arizona Revised Statutes,
2 is amended by adding section 36-3414, to read:

3 36-3414. Managed care organizations; high-volume service
4 providers; termination without cause; written
5 notice; determination of network adequacy;
6 definitions

7 A. BEFORE A MANAGED CARE ORGANIZATION MAY TERMINATE A HIGH-VOLUME
8 SERVICE PROVIDER'S CONTRACT WITHOUT CAUSE, THE MANAGED CARE ORGANIZATION
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14 SERVICE PROVIDER, INCLUDING THE SPECIFIC DATA SOURCES, CALCULATION
15 METHODOLOGY AND METRICS USED.

16 2. A NETWORK ADEQUACY STUDY PERFORMED BY THE MANAGED CARE
17 ORGANIZATION THAT EVALUATES AND DOCUMENTS, AT A MINIMUM:

18 (a) CURRENT AND PROJECTED POSTTERMINATION SERVICE
19 PROVIDER-TO-ENROLLEE RATIOS BY SERVICE PROVIDER TYPE AND GEOGRAPHIC
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25 (d) THE IMPACT ON MEMBERS WHO ARE RECEIVING BEHAVIORAL HEALTH
26 SERVICES ASSOCIATED WITH THE MEMBER'S DISABILITY.

27 (e) THE CUMULATIVE EFFECT OF ALL PENDING OR RECENTLY COMPLETED
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33 IMPACT OF THE TERMINATION ON NETWORK ADEQUACY.

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44 ADMINISTRATION SHALL NOTIFY THE SERVICE PROVIDER OF THE DECISION.

45 D. A MANAGED CARE ORGANIZATION MAY NOT TERMINATE A HIGH-VOLUME
46 SERVICE PROVIDER WITHOUT CAUSE UNTIL THE ADMINISTRATION HAS REVIEWED THE
47 MANAGED CARE ORGANIZATION'S NETWORK ADEQUACY STUDY AND HAS PROVIDED

1 WRITTEN CONFIRMATION THAT APPLICABLE NETWORK ADEQUACY STANDARDS WILL
2 CONTINUE TO BE MET AFTER THE TERMINATION OF THE HIGH-VOLUME SERVICE
3 PROVIDER. THE ADMINISTRATION SHALL COMPLETE ITS REVIEW OF THE NETWORK
4 ADEQUACY STUDY WITHIN TEN BUSINESS DAYS AFTER RECEIVING THE NOTICE
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11 ADMINISTRATION'S DETERMINATION ON THE ADMINISTRATION'S PUBLIC WEBSITE AND
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20 ORGANIZATION DEMONSTRATES TO THE ADMINISTRATION'S SATISFACTION THAT
21 NETWORK ADEQUACY STANDARDS WILL BE MET.

22 G. IF A MANAGED CARE ORGANIZATION DECLINES TO CONTRACT WITH A
23 SERVICE PROVIDER OR POTENTIAL SERVICE PROVIDER DUE TO A DETERMINATION OF
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36 [H. SUBSECTION G OF THIS SECTION APPLIES ONLY TO HIGH-VOLUME
37 SERVICE PROVIDERS.]

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44 [I.] [J.] FOR THE PURPOSES OF THIS SECTION:

45 1. "HIGH-VOLUME SERVICE PROVIDER" MEANS A SERVICE PROVIDER THAT
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1 (a) DELIVERED AT LEAST TEN PERCENT OF ANY SPECIFIC SERVICE FOR A
2 MANAGED CARE ORGANIZATION IN THE PRECEDING STATE FISCAL YEAR.

3 (b) EMPLOYS MORE THAN TEN PERCENT OF THE ACTIVELY LICENSED
4 BEHAVIORAL HEALTH PROVIDERS IN THIS STATE.

5 2. "MANAGED CARE ORGANIZATION" MEANS A CONTRACTOR THAT HAS A
6 PREPAID CAPITATED CONTRACT WITH THE ADMINISTRATION OR A REGIONAL
7 BEHAVIORAL HEALTH AUTHORITY.

8 Enroll and engross to conform

9 Amend title to conform

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